Team-Building Credits

Reforming the lottery by realigning incentives and allocating talent to teams that need it

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The problem

We want to allocate young talent to the teams that need it most, but our measure of “need” – regular season losses – is susceptible to manipulation.

The solution

- Give teams fine-grained control over their investment in the draft.
- Remove any connection between losing games and draft positioning.
- Further lubricate the trade market.
- Give the league a flexible “carrot” or “stick” for enforcing cap constraints or other rules.

The method

Each year, the NBA allocates 100 “Team-Building Credits” to each team.

Prior to the draft lottery, teams simultaneously bid some of their Credits as entries to the lottery, then the lottery assigns all 30 first-round picks.

Unspent Credits roll over, season-to-season, so teams can accumulate them over time.

Credits can be traded between teams, just as player contracts, cash, and (portions of) picks are currently.

In support of the league’s goals, fewer than 100 Credits can be allocated to teams, according to agreed-upon criteria.

Outline

Team-Building Credits are the main idea; the details are flexible

1. Goodhart's Law
2. Team-Building Credits as a solution
   a. Solving the incentive problem
   b. Allocating talent to teams, by need
3. Our proposal
4. The transition period
5. Options and alternatives
6. Q & A

Goodhart’s Law

“When a measure becomes a target, it ceases to be a good measure.”

For competitive balance reasons, and for fans to have hope for their favored team, it is desirable to give teams in need of talent an advantage in acquiring good young prospects.

Unfortunately, the way we have historically identified teams in “need” of talent is to look at regular season losses, and this *measure* of need has become a *target* which teams can strategically pursue, to the detriment of the basketball product.

Ideally, we could find some measure of need that is not directly manipulable by the teams, but almost all of the proposed lottery reforms either fail to disentangle “need” from losing, or they don’t provide adequate paths to relief for teams with true need.

The Team-Building Credits system offers teams a resource that gives them direct control over their relative advantage in acquiring talent, letting teams determine need for themselves, and removing the incentive to falsely signal need by intentional losing.

Team-Building Credits

Solving the incentive problem

Many draft/lottery reform proposals merely shift the timing or breakpoint at which losing becomes preferable for long-term rational teams.

- Counting wins after a certain point in the season creates an incentive for teams with good rosters to lose early, and it doesn't help teams who simply cannot win games at any point in the season, who are the ones who most need the help.
- Restricting the range of pick protections (to, e.g. "top 4" or "lottery") will just cause teams to pool toward those breakpoints.
- Considering record across multiple seasons creates an incentive for teams to lose if their previous season's losses put them in a favorable draft position. Or creates an incentive for a team that was good in a previous year to lose *even more*.
- Disallowing teams from picking Top 4 in back-to-back years just incentivizes losing *more* for teams who aren't the worst teams (since a bad team's lottery odds have to be distributed to the remaining teams).
- Awarding good picks to tournament winners just makes it harder for talent to get to the teams that need it most.

Team-Building Credits don't rely on teams winning or losing specific regular season games - in this system your draft position can't be directly manipulated through non-competitive strategies or lineups.

Team-Building Credits

Talent allocation

The NBA has historically prioritized giving non-contending teams the opportunity to build through the draft. Team-Building Credits preserves that opportunity.

Specifically, this plan allows teams to “save” Credits for the years in which they most acutely need an infusion of talent through the draft, at which time they can invest their Credits heavily into the draft lottery, to maximize their chances of drafting the best prospects.

Additionally, this plan allows Team-Building Credits to be traded, meaning that a rebuilding team can trade some of their veteran talent for additional Credits, further improving their chances in the draft lottery. And good teams can trade Credits away in exchange for talent to improve their current roster.

There are many other ways the Team-Building Credit system could be modified to confer advantages in the draft to any set of teams determined by the league to “need” more help in the draft. See the section below on Offset system options.

Team-Building Credit basics

A league-controlled special-purpose currency for team building

- At the start of each league-year, each team receives an allocation of 100 Team-Building Credits from the league, minus deductions for playoff success. These Credits may be saved or traded, but their primary use is to bid for draft position.
  - Teams also get the rights to their own first- and second-round draft picks seven years out, on the night of the draft, as they currently do.

- On some pre-specified date in late April, teams will secretly send bids to the league. Those bids involve “spending” their Credits toward a partially randomized allocation of draft positions. The bids must be integer amounts of Credit, and the bidding team must have enough Credits in their account to cover the bid.

- After the bid deadline, the league would reveal each team’s bids, which would generate a lot of conversation among fans and the media.

- Picks are allocated through a **Rolling Window Lottery**. 👇

The Rolling Window Lottery

The mechanism by which teams bid Credits for picks

- The first round has 30 picks (or one pick for each team), although just like today, teams can own multiple picks in a single round if they acquire additional picks from other teams via trade.

- Each team's bid should largely determine draft order, but to avoid collusion and "aiming" issues, we need some randomness, so we propose a **Rolling Window Lottery**:
  - For the first pick, the top 4 highest-bidding teams are put into a lottery amongst themselves, with probabilities proportional to the number of Credits each puts into the draft.
  - The winner of this lottery gets the first pick, gets charged the bid of the lowest bidder among those four teams, and is removed from the pool.
  - For the second pick, the next-highest-bidding slot owner is added to the three non-winners of the first pick, and another lottery is held.
  - The winner of this lottery gets the second pick, and so on, until all picks have been assigned.
  - We propose the "Vickrey-like" auction system described here, so that a team that bids highly but randomly falls to a lower pick retains plenty of Credits for the following year. Bad luck for a high bidder simply shouldn't mean they're out of lottery contention for a long time.

- Any team that has a slot but bids 0 Credits will pick at the end of the first round, with a random tiebreaker.

The second round

Bidding Credits for second round picks

- After the lottery, there is another round of secret bidding, this time for second round picks. (This way you know what the first round cost you before allocating any Credits to the second round.)
- Each team with one or more second round pick slots bids Credits toward those slots.
- Picks are allocated in order of bid size, with no lottery. Random tiebreakers.

All bids

Team	Bid
BRK	151
WAS	150
SAC	125
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 1

Team	Bid	Probability
BRK	151	28.2%
WAS	150	28.0%
SAC	125	23.3%
IND	110	20.5%

Allocated picks

Team	Pick	Bid	Credits charged

All 30 teams submit bids; the four highest bids are put into a “window”, and a lottery is held among those four to award the first pick.

All bids

Team	Bid
BRK	151
WAS	150
SAC	125
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 1

Team	Bid	Probability
BRK	151	28.2%
WAS	150	28.0%
SAC	125	23.3%
IND	110	20.5%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110

SAC wins the drawing for the first window and is awarded the first pick.

They are only charged 110 Credits, which is the minimum bid in the window they won.

All bids

Team	Bid
BRK	151
WAS	150
~~SAC~~	~~125~~
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 2

Team	Bid	Probability
BRK	151	29.5%
WAS	150	29.3%
IND	110	21.5%
NOP	101	19.7%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110

With SAC removed, the next-highest bidder (NOP) is moved into the window for the second pick.

All bids

Team	Bid
BRK	151
WAS	150
~~SAC~~	~~125~~
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 2

Team	Bid	Probability
BRK	151	29.5%
WAS	150	29.3%
IND	110	21.5%
NOP	101	19.7%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101

WAS wins the lottery for the second pick, and are charged 101 Credits.

All bids

Team	Bid
BRK	151
~~WAS~~	~~150~~
~~SAC~~	~~125~~
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 3

Team	Bid	Probability
BRK	151	32.7%
IND	110	23.8%
NOP	101	21.9%
UTA	100	21.6%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101

WAS is removed; UTA is added to the next window.

Note that UTA, DAL, and CHI all bid 100; UTA's higher rank is by virtue of random tiebreaker.

All bids

Team	Bid
BRK	151
~~WAS~~	~~150~~
~~SAC~~	~~125~~
IND	110
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 3

Team	Bid	Probability
BRK	151	32.7%
IND	110	23.8%
NOP	101	21.9%
UTA	100	21.6%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100

IND wins the lottery for the third pick.

All bids

Team	Bid
BRK	151
~~WAS~~	~~150~~
~~SAC~~	~~125~~
~~IND~~	~~110~~
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 4

Team	Bid	Probability
BRK	151	33.4%
NOP	101	22.3%
UTA	100	22.1%
DAL	100	22.1%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100

IND is removed; DAL enters the window.

All bids

Team	Bid
BRK	151
~~WAS~~	~~150~~
~~SAC~~	~~125~~
~~IND~~	~~110~~
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 4

Team	Bid	Probability
BRK	151	33.4%
NOP	101	22.3%
UTA	100	22.1%
DAL	100	22.1%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100
BRK	4	151	100

BRK wins the fourth pick. They were the highest bidder overall, but “fell” to the fourth pick.

To compensate, they are only charged the minimum bid for this window (100).

All bids

Team	Bid
~~BRK~~	~~151~~
~~WAS~~	~~150~~
~~SAC~~	~~125~~
~~IND~~	~~110~~
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 5

Team	Bid	Probability
NOP	101	25.2%
UTA	100	24.9%
DAL	100	24.9%
CHI	100	24.9%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100
BRK	4	151	100

All four highest bidders have been allocated picks. The lottery proceeds by rolling through the rest of the bidders.

All bids

Team	Bid
~~BRK~~	~~151~~
~~WAS~~	~~150~~
~~SAC~~	~~125~~
~~IND~~	~~110~~
NOP	101
UTA	100
DAL	100
CHI	100
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 5

Team	Bid	Probability
NOP	101	25.2%
UTA	100	24.9%
DAL	100	24.9%
CHI	100	24.9%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100
BRK	4	151	100
CHI	5	100	100

All bids

Team	Bid
~~BRK~~	~~151~~
~~WAS~~	~~150~~
~~SAC~~	~~125~~
~~IND~~	~~110~~
NOP	101
UTA	100
DAL	100
~~CHI~~	~~100~~
MEM	99
MIL	80
POR	75
ATL	75
LAC	66
BRK	51
CHA	51
ORL	50
PHI	50
GSW	50
MIA	50
TOR	50
LAL	12
DEN	11
MIN	10
CLE	10
HOU	10
NYK	5
BOS	5
SAS	1
DET	0
OKC	0

Lottery for pick 6

Team	Bid	Probability
NOP	101	25.3%
UTA	100	25.0%
DAL	100	25.0%
MEM	99	24.8%

Allocated picks

Team	Pick	Bid	Credits charged
SAC	1	125	110
WAS	2	150	101
IND	3	110	100
BRK	4	151	100
CHI	5	100	100

This process continues, until all 30 picks are assigned.

The Rolling Window Lottery

The mechanism by which teams bid Credits for picks

An interactive simulator:

https://dsparks.github.io/credits/

While we prefer the Rolling Window Lottery, many other pick allocation mechanisms are feasible, including:

- Deterministic bid order – picks allocated in order of bid, with random tiebreakers.
  Almost no randomness; high bidders can't fall, low bidders can't rise.

- Full lottery – each pick is drawn from a lottery over all bidders, weighted by bid.
  Highest randomness; greatest potential for high bidders to fall and low bidders to jump.

- Top-N lottery – Top several picks awarded by lottery, all other picks allocated in order of bid.
  Moderate randomness; high bidders unlikely to fall far, some small probability low bidders jump.

Trading Team-Building Credits

And how draft picks can still be traded

- Team-Building Credits could be used as consideration in any trade, just like player contracts, portions of draft picks, and cash are under the current system.

- One Credit might be useful as “minimum consideration” in a trade, replacing the classic top-55 protected second-round pick. Consideration rules for three-way trades would need to be evaluated - some higher number of Credits would suffice.

- Teams would also have the option to trade their own first- or second-round draft “slots”. These picks would not be protected or have swap options, because the Credit bidding process for draft position makes those irrelevant.
    - So, for example, a team that believes it has a good chance to contend for a championship might trade a developing young player, a future first-round draft slot, and 35 Credits to another team, in exchange for a playoff-caliber starter.

- Teams could also trade their full allocation of Credits in a specific future year, up to seven years out. These credits would have to be traded in “all or nothing” deals, since no one knows in advance how many credits they’ll be getting in a future year. (Think of this sort of trade as similar to the current idea of a “swap” – you don’t get an additional pick but you can improve one or make it worse.)

Trading Team-Building Credits

And how draft picks can still be traded

- A Stepien-like rule for should probably be put in place for first-round pick slots as well as future Credit allocations.
- Teams with more than one draft slot in a given draft would bid Credits toward the draft position of each slot separately. E.g. if OKC holds their own first round draft slot in 2034 *and* DEN's first round draft slot in the same year, OKC would specify the number of Credits (subject to their budget) they wish to allocate toward *each* of those draft slots.
- Between the lottery and when a pick is used in the draft, teams can trade those specific picks. So, teams can still "move up" or "back" in the draft on draft night.

Credit offsets for playoff success

A flexible tool for shaping team-building and ensuring rules adherence

- Thus far we have described a system in which each team receives the same number of Team-Building Credits at the beginning of each season, but this does not have to be the case.
- The system could be set up in such a way that makes it easier for some teams to build through the draft – by reducing the Credit allocation toward other teams – while not providing the same incentives to lose as does the current system.
- Specifically, our proposal would be to deduct 20 Credits for each playoff series won in the immediately preceding season.
- The team that wins the title in June would thus start July with an allocation of just 20 Credits; all teams that lose in the second round would get 80 Credits, and so on.
- This is a concession to the idea that team success follows a cyclical pattern, and that teams outside of contention should be given better opportunities to improve. We do not believe a team would feel any significant incentive to lose a playoff series in order to receive 20 Credits.

The transition period

What to do between agreement and full implementation

- Realistically, we anticipate the first Credit-bid draft taking place in 2034, at the soonest.
- Once the Team-Building Credit system is agreed to, all existing pick trades would be honored, and teams would continue to trade picks under the current rules, up through the 2033 draft.
- In the first year after the Credit system is agreed to, teams can trade their 2034 picks (and beyond, as they come available over time), but only as “whole slots”, in line with the rules described previously.
- Teams could also begin trading their full allocation of Credits in a specific future year, up to seven years out. These credits would have to be traded in “all or nothing” deals, since no one knows in advance how many credits they’ll be getting in a future year.
- Starting July 1, 2034, the league distributes Credits to all teams, as the transition to the new system is complete.

The transition period

How to smoothly transition into the Credits system

- So that teams that have been super successful in the years leading up to implementation aren't suddenly equal with teams that haven't been as good, we suggest that the league should allocate some number Credits in advance of the system beginning, with a penalty based on team playoff success (or lack thereof) across the final few transition seasons.
    - A possible allocation could look like this:

Year	Credits to each team	Playoff series penalty
2031	25	-5
2032	50	-10
2033	75	-15
2034 (full implementation)	100	-20

- This would allow for an average of 225 Credits per team as the system begins. And of course these would be tradeable as soon as they're allocated to teams.

Optional: Credits in support of league goals

Credits could be a flexible, non-monetary “stick” or “carrot” which the league can use to further its goals

- Because the league is the sole source of Team-Building Credits, it can leverage this power to help with rules enforcement.
- In cases where monetary fines are currently used, such as enforcing the player participation and injury reporting policies, tampering, etc., teams may still be willing to pay a financial penalty to violate those rules.
- Replacing those monetary fines with the deduction of future Team-Building Credits changes the calculus substantially, as the penalties are now “basketball penalties.”
- But docking a team one or several future Credits is a *much* more granular and less heavy-handed form of discipline than taking away future draft picks, which is one of the few recourses available now.
- This system works without this set of penalties but tying league enforcement to basketball (rather than money) should lead to improved compliance.

Optional: Credits in support of league goals

Credits could be a flexible, non-monetary “stick” or “carrot” which the league can use to further its goals

- Similarly, Credit deductions could be used in support of team salary cap limitations, like deductions for teams going over the cap.
  - Or, for competitive balance reasons, teams could be deducted credits based on individual player salaries.
  - These would have to be negotiated with the players.

- On the other side, the league could incentivize competition, by rewarding the In-Season Tournament winning team (and runner-up) with future Credits, and/or awarding future Credits to the teams of each player on the winning All-Star team.

- These are all just several of many possibilities.

Q & A

What does the annual schedule look like for Team-Building Credits?

- July 1: At the beginning of the league year, the NBA allocates 100 Credits to each team, minus playoff success offsets.
- Early February: Just as is the case now, teams cannot trade Credits or draft slots after the trade deadline.
- Mid May: The deadline for players to commit to, or withdraw from, the NBA draft.
- Mid May: Teams submit their Credit bids for the Rolling Window Lottery.
- Late May: The Lottery is held.
- Late June: The NBA draft.

Q & A

How will the draft-pick penalty for teams in the Second Apron be implemented?

The first step of the penalty is easily carried over: we can simply “freeze” that team’s first round draft *slot* in the seventh following season, preventing them from trading it.

If a team is in the Second Apron for at least 2 of the next 4 cap-years, that team would then be prevented from bidding Credits toward that frozen pick, ensuring that it lands at the end of the first round.

This would be *slightly* less harsh than the current penalty since other teams could also bid 0 and thus this pick could be randomly drawn to be higher than 30 if there are other teams bidding zero. More importantly, the penalized team could still carry that year’s Credits over to a future year, so the penalty is less harsh than it is now, where all your “pick quality equity” for that year is taken away.

Q & A

Isn’t this Team-Building Credits plan too complicated for fans to follow?

Complicated? You mean, like this?

> Minnesota conveys to Detroit the right to swap Detroit’s own 2026 first round draft pick (the “Detroit Pick”) for the “Minnesota/Utah Pick” (defined below), provided that Minnesota’s own 2026 first round draft pick (the “Minnesota Pick”) is not among the first 19 picks in the 2026 NBA Draft. If the Minnesota Pick is not among the first 19 picks in the 2026 NBA Draft, the foregoing swap right shall be deemed exercised by Detroit if the Minnesota/Utah Pick is more favorable than the Detroit Pick and shall be deemed extinguished if the Minnesota/Utah Pick is less favorable than the Detroit Pick (for clarity, the determination of whether the Minnesota/Utah Pick is more or less favorable than the Detroit Pick shall be made once it is determined which team’s first round draft pick is the Minnesota/Utah Pick). If the Minnesota Pick is among the first 19 picks in the 2026 NBA Draft, then Minnesota’s obligation to convey the foregoing swap right shall be extinguished. (Conley - Ivey - Huerter - Saric - CHI - DET - MIN, 2/3/2026)
>
> The Minnesota/Utah Pick shall be the Minnesota Pick; provided that, if Utah exercises its right to swap Utah’s own 2026 first round draft pick (the “Utah Pick”) for the Minnesota Pick pursuant to the July 6, 2022 trade involving Rudy Gobert et al. (see endnote 61), then the Minnesota/Utah Pick shall instead be the Utah Pick.